Betfred (:)

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FY26 Earnings — Analyst Brief · Released c. 9–12 Oct 2026 (Companies House filing, Betfred Group Ltd; FYE 29 Mar 2026; trade coverage from 12 Oct 2026) · Currency GBP (tables in £m unless stated)

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B2Tech · via Merlin

n/a — Betfred Group Ltd (Companies House no. 02578161) is privately owned by Fred and Peter Done; there is no listed equity or quoted debt, so there was no market reaction. The accounts surfaced via Companies House and trade press on 12 Oct 2026.

THE ONE-LINE VERDICT

Betfred's last set of accounts before the UK duty shock shows a group that is growing online (+20% on a 52-week pro-rata basis, now 45% of turnover) but whose profitability has already compressed sharply: EBITDA of £140.6m is ~28% below the pro-rata run-rate of the prior 78-week period and the margin is down ~600bps to 14.1%, before a single pound of the 40% RGD hits. With retail shrinking ~9% pro-rata, 132 further shop closures under way, a 76% dividend payout and management now withholding geographic disclosure, this is a business entering the FY27 tax regime with far less cushion than the £996m turnover headline suggests.

TURNOVER (52WK)	GROSS PROFIT (POST-DUTY)	EBITDA	PRE-TAX PROFIT	PROFIT AFTER TAX	SHOPS AT PERIOD END
£995.6m	**£719.9m**	**£140.6m**	**£64.0m**	**£39.6m**	**1,293**
+2.4% vs 52wk pro-rata of 78wk FY25 (est.); company LFL + £23.3m	+0.9% vs pro-rata (est.); GP margin 72.3% (-110bps)	-28% vs pro-rata (est.); margin 14.1% vs 20.1%	-49% vs pro-rata (est.); £188.7m over 78wk FY25	-54% vs pro-rata (est.); ETR 38.1% vs 31.7%	-58 YoY (-4.3%); further 132 closures (~10%) announced Jul-26

1 EXECUTIVE SUMMARY

- **Headline (52 weeks to 29 Mar 2026, Companies House):** turnover £995.6m, gross profit (after duties/levies/commission) £719.9m, EBITDA £140.6m, operating profit £74.1m, pre-tax profit £64.0m, profit after tax £39.6m, total comprehensive income £48.7m (incl. +£9.5m FX). All figures corroborated across SBC News, NEXT.io, iGB, Racing Post, TheBusinessDesk and Yogonet reports of the filing.
- **Comparability caveat:** the prior period was 78 weeks to 30 Mar 2025 (year-end moved from September to March), with turnover £1,458.5m, PBT £188.7m and PAT £128.8m. Our 52/78 pro-rata of that base reproduces the company's own stated like-for-like turnover uplift of + £23.3m exactly, so all 'vs pro-rata' deltas below use that method and are labelled as estimates.
- **No consensus, no guidance:** Betfred is privately owned by the Done family and gives no outlook; 'result vs expectations' is therefore replaced by 'result vs annualised prior-period run-rate'. On that basis the top line is marginally up (+2.4%) but every profit line is down 28–54%.
- **Profit compression is the story, not revenue:** EBITDA margin on turnover fell from 20.1% (78wk, pre-exceptional) to 14.1%; operating margin from 14.4% to 7.4%. Drivers named in the strategic report: employee costs +£19.2m LFL (National Minimum Wage, employer NICs), higher online marketing 'to increase market share and attract new customers', and £7.1m of exceptional items. Higher amortisation of capitalised technology is implied (EBITDA-to-EBIT gap £66.5m vs ~£56m pro-rata).
- **Mix shift accelerates:** online turnover £451.7m (+20% pro-rata) is now 45% of group vs 39% in the prior period and £197m in FY23; retail £544.0m (-9% pro-rata) is 55% vs 61%. The entire group LFL growth came from online while the shop estate shrank.
- **Duty burden already rising before the big step-ups:** betting duty £147.4m (+12% pro-rata), MGD £54.5m (-9%), statutory levies £18.6m (+55%, reflecting the new statutory RET levy from April 2025), commissions £55.1m. Total duties + levies = £220.5m, 22.1% of turnover vs 21.0% in the prior period.
- **The tax cliff is post-period:** Remote Gaming Duty rose from 21% to 40% on 1 Apr 2026 (two days after year-end) and remote General Betting Duty rises from 15% to 25% from April 2027 (horse racing, SSBTs, pools and spread betting excluded). A doubling of Machine Games Duty is widely reported to be under consideration for this autumn's Budget. None of this is in the FY26 numbers.
- **Retail estate in managed run-off:** 1,293 shops at 29 Mar 2026 (1,351 a year earlier). On 31 Jul 2026 the company confirmed 132 further closures (~10% of the estate, ~600 jobs), with CEO Jo Whittaker citing gambling taxes, wage inflation, NICs and economic uncertainty; HM Treasury publicly countered that retail duty rates were unchanged. Fred Done has since told the FT that doubling MGD would close 495 shops within a year (2,575 jobs, ~£67m of foregone tax) and that no shops would be left by 2030.
- **Sponsorship retrenchment:** Betfred will end its title sponsorship of rugby league's Super League after the 2026 season (sponsor since 2017), explicitly attributed to tax rises and wage inflation; Done has said sponsorship of all five British Classics would follow if MGD doubles. This is marketing cost coming out of FY27, but also brand-reach loss.
- **Portfolio clean-up complete:** the US exit is finished (ceased trading in the last remaining state; £0.8m closure cost in exceptionals; nine states exited in the prior period) and the Spanish online business was sold in 2024 (£1.6m gain). Exceptional costs of £7.1m include £4.6m of 'aborted acquisition costs' for an unnamed target; NEXT.io reported the group has considered entering adult gaming centres, which has not materialised.
- **Tax line:** £24.4m charge vs £59.8m over 78 weeks; effective rate 38.1% vs 31.7%, with unrecognised deferred tax assets of up to £7m noted — a signal that some overseas/legacy losses are not expected to be utilised.
- **Capital returns are running ahead of earnings:** an interim dividend of £30.1m was paid (vs £25.4m over the whole 78-week prior period), a 76% payout of PAT; no final dividend is recommended. Extracting £30m while EBITDA is about to absorb a £35–50m RGD hit (our estimate) leaves less internal buffer.
- **Balance sheet and cash flow: n/a.** Net debt/cash, operating cash flow and capex were not reported in any coverage and the filing PDF could not be accessed; the Companies House filing history shows three new charges registered in October 2025, consistent with secured facilities being put in place or amended [amount unverified].
- **Technology insourcing:** Manchester agency Sharp Gaming has been absorbed and rebranded Betfred Technology, with Andrew Daniels appointed CIO; capitalised development costs total £110.4m and £22.1m

of R&D was expensed in the period. Rising amortisation from this base will weigh on EBIT for several years.

- **Disclosure is deteriorating:** management declined to present a geographic split on the grounds it would be 'severely prejudicial to the interests of the group'. This matters because Lottostar (South Africa) contributed £41.4m of net profit in the 78-week prior period — i.e., potentially a large majority of group PAT. Our inference is that the UK business on a standalone basis is marginal, which management has an interest in not quantifying ahead of the Budget.
- **Headcount:** 9,463 vs 9,622 (SBC/Focus/gambling.com, described as average headcount); iGB cites 7,795 vs 7,872 — likely a different basis (FTE/UK-only), flagged as a source discrepancy. Either way, cost per head rose faster than the headcount fell.
- **Industry context corroborates the retail decline:** UK retail betting GGY was down 7% YoY in Q4 2025 (~£549m) per Gambling Commission data cited by Focus Gaming News; Betfred's ~9% pro-rata retail decline is in line with, or slightly worse than, the market.
- **Thesis read-through for listed peers:** (i) UK retail is structurally shrinking and duty-sensitive — supportive of Entain/evoke estate rationalisation narratives; (ii) a sub-scale online operator was still buying share with marketing in FY26, which should reverse under 40% RGD — a modest positive for scale players' promotional intensity; (iii) for racing, Betfred's levy, media-rights and sponsorship contributions are visibly at risk.
- **Bottom line:** the FY26 accounts are the high-water mark for Betfred's reported profit under the old tax regime. Absent MGD relief, FY27 EBITDA is likely to land materially below £140.6m (our estimate £95–120m), and the group's reliance on undisclosed overseas profit is the single biggest analytical unknown.

2 GROUP FINANCIAL SUMMARY

£M — BETFRED GROUP LTD (52WK FY26 VS 78WK FY25)	FY26 (52WK TO 29-MAR-26)	FY25 (78WK TO 30-MAR-25)	FY25 PRO-RATA 52WK (EST.)	Δ VS PRO-RATA (EST.)
TURNOVER BY CHANNEL				
Retail (LBOs)	544.0	894.8	596.5	-8.8%
Online	451.7	563.6	375.7	+20.2%
Group turnover Company-stated LFL uplift +£23.3m matches our pro-rata method exactly.	**995.6**	**1,458.5**	**972.3**	**+2.4%**
Retail share of turnover	54.6%	61.4%	61.4%	-6.8pp
DEDUCTIONS FROM TURNOVER				
Betting duty	(147.4)	(197.9)	(131.9)	+11.7%
Machine gaming duty	(54.5)	(90.3)	(60.2)	-9.5%
Statutory levies	(18.6)	(18.0)	(12.0)	+55%
Commissions *FY25 commissions implied as residual to reported £1.07bn gross profit; unverified.	(55.1)	(82.2)*	(54.8)*	+0.5%
Duties+levies % turnover	22.1%	21.0%	21.0%	+110bps
Gross profit	**719.9**	**1,070.0**	**713.3**	**+0.9%**
Gross margin (on turnover)	72.3%	73.4%	73.4%	-110bps
PROFIT LINES				
EBITDA FY25 stated 'before exceptional items'; FY26 basis (pre/post £7.1m exceptionals) not confirmed in coverage.	**140.6**	**293.8**	**195.9**	**-28.2%**
EBITDA margin (on turnover)	14.1%	20.1%	20.1%	-600bps
EBITDA margin (on gross profit)	19.5%	27.5%	27.5%	-800bps
Exceptional items Incl. £4.6m aborted acquisition costs and £0.8m US subsidiary closure costs.	(7.1)	n/a	n/a	–
Operating profit	**74.1**	**209.6**	**139.7**	**-47.0%**
Operating margin	7.4%	14.4%	14.4%	-690bps
Net finance & other (implied: EBIT less PBT) Derived; composition unverified.	(10.1)	(20.9)	(13.9)	–
Profit before tax	**64.0**	**188.7**	**125.8**	**-49.1%**
Tax	(24.4)	(59.8)	(39.9)	-38.8%
Effective tax rate	38.1%	31.7%	31.7%	+640bps
Profit after tax	**39.6**	**128.8**	**85.9**	**-53.9%**
Net margin	4.0%	8.8%	8.8%	-480bps
FX translation / OCI FY25 OCI: -£12.8m FX and -£3.4m pension remeasurement.	+9.5	(16.2)	–	–
Total comprehensive income	48.7	112.6	75.1	-35.1%
EPS (GAAP / adjusted)	n/a (private)	n/a	n/a	–
CAPITAL & KPIS				
Interim dividend paid No final dividend recommended.	30.1	25.4	16.9	+78%
Dividend payout (% PAT)	76%	20%	–	–
Operating cash flow / FCF	n/a [not in coverage]	n/a	n/a	–
Net debt / (cash); leverage Three charges registered at Companies House Oct-2025; facility size not disclosed in coverage.	n/a [unverified]	n/a	n/a	–
Capitalised development costs (cumulative, as reported)	110.4	n/a	n/a	–
R&D expensed	22.1	n/a	n/a	–
Shops at period end	1,293	1,351	1,351	-58 / -4.3%
Headcount (average) iGB cites 7,795 vs 7,872 — basis differs; discrepancy unresolved.	9,463	9,622	9,622	-1.7%
Employee cost change (LFL 12m)	+19.2	–	–	–
Avg monthly players / actives	n/a (not disclosed)	n/a	n/a	–

3 SEGMENT DEEP-DIVE — RETAIL (UK LICENSED BETTING OFFICES)

> **£544m turnover (-9% pro-rata), 55% of group; estate down to 1,293 shops with 132 more closing — the cash engine is in managed run-off and machine duty is the next swing factor.**

TURNOVER AND ESTATE

Retail turnover of £544.0m fell roughly 9% against the 52-week pro-rata prior period (£596.5m), with the estate down to 1,293 shops.

- Estate of 1,293 shops at period end versus 1,351 a year earlier; net 58 closures explain most of the gap.
- Retail now 54.6% of group turnover, down from 61.4% in the 78-week comparative.
- Per-average-shop turnover fell about 7% to c.£411k (our estimate, versus c.£442k pro-rata).
- Gambling Commission data put UK retail betting GGY down 7% year-on-year in Q4 2025 at ~£549m, so Betfred is tracking the market or fractionally worse.
- No disclosure of handle, sports margin, machine net win, promotional spend or retail EBITDA; we treat the decline as structural footfall erosion.

MACHINE GAMING DUTY

Machine gaming duty of £54.5m (-9.5% pro-rata) implies gaming-machine GGY of roughly £270m; a doubling of MGD would be existential.

- At the 20% headline rate, implied machine GGY is ~£270m (our estimate, versus ~£300m pro-rata), about half of retail turnover.
- B2/B3 machines rather than over-the-counter betting are the profit core of the estate.
- A straight doubling of MGD at FY26 volumes would add up to ~£55m of duty against group EBITDA of £140.6m.
- Fred Done claims a doubling would force 495 shop closures within a year, 2,575 jobs and ~£67m of Exchequer revenue lost, no shops by 2030.
- That is lobbying rhetoric, but the arithmetic is not implausible given a per-shop MGD burden we estimate at ~£41k.

COSTS AND CLOSURES

Employee costs rose £19.2m like-for-like despite lower headcount, prompting 132 confirmed closures (~10% of estate, ~600 roles).

- Average headcount fell to 9,463 from 9,622; management attributed the cost rise to National Minimum Wage and employer National Insurance increases.
- Given retail's labour intensity the bulk of that cost lands here.
- On 31 July 2026 the company confirmed 132 closures, citing gambling taxes, wage inflation, NICs and economic uncertainty.
- HM Treasury noted no retail duty rate had changed; the Racing Post estimated closures would cost racing ~£4m a year in levy and media-rights income.
- None of the closure costs sit in FY26; expect exceptional charges (lease exits, redundancy) in FY27 accounts.

HARVEST STRATEGY

Retail remains the group's cash generator but is being harvested rather than invested in, with the MGD Budget decision determining further rationalisation.

- Withdrawal from Super League title sponsorship after the 2026 season and threat to drop the five British Classics trade brand assets for cost savings.
- Absence of segment profit disclosure means we cannot test management's implicit claim that the marginal shop is now loss-making.
- Duties plus levies already consume 22.1% of group turnover; retail's share is rising (betting duty +12% pro-rata, levy +55%).
- The Budget decision on MGD will determine whether the 132-shop programme is the end of rationalisation or merely the first tranche.

RETAIL £M	FY26 (52WK)	FY25 (78WK)	FY25 PRO-RATA 52WK (EST.)	Δ VS PRO-RATA (EST.)
Retail turnover	**544.0**	**894.8**	**596.5**	**-8.8%**
Share of group turnover	54.6%	61.4%	61.4%	-6.8pp
Shops at period end	1,293	1,351	1,351	-58 / -4.3%
Turnover per average shop (£k, est.) FY26 uses average of opening/closing estate; FY25 uses 1,351.	~411	–	~442	c.-7%
Machine gaming duty	54.5	90.3	60.2	-9.5%
Implied machine GGY @20% MGD (est.)	~273	~452	~301	-9.5%
MGD per average shop (£k, est.)	~41	–	~45	c.-7%
Announced closures (post-period, Jul-26)	132 (~10%)	–	–	–
Jobs affected (announced)	~600	–	–	–
Retail EBITDA / margin	n/a (not disclosed)	n/a	n/a	–
Handle / net sports margin / promo % handle	n/a	n/a	n/a	–
UK retail betting GGY market, Q4-25 (GC data, context)	~£549m, -7% YoY	–	–	–

4 SEGMENT DEEP-DIVE — ONLINE (UK & INTERNATIONAL DIGITAL, INCL. LOTTOSTAR SOUTH AFRICA)

£451.7m turnover (+20% pro-rata), now 45% of group — growth bought with marketing and a £110m tech build, two days before RGD went to 40%.

TURNOVER GROWTH

Online turnover grew 20% pro-rata to £451.7m, now 45.4% of group, but growth was bought with unquantified marketing spend.

- Up from £375.7m 52-week pro-rata and more than double the £197m reported for FY23; share up from 38.6%.
- Management attributed the group's £23.3m like-for-like uplift to increased marketing expenses.
- Marketing, actives, ARPU, handle, sports margin and promotional intensity are not disclosed, so growth quality cannot be judged.
- Group EBITDA fell ~28% pro-rata while gross profit was flat, indicating substantial customer-acquisition cost.

> *"to increase market share and attract new customers"* — **Management**

TECHNOLOGY BUILD

Capitalised development costs stand at £110.4m plus £22.1m R&D expensed, with amortisation now widening the EBITDA-to-EBIT gap.

- Group absorbed Manchester agency Sharp Gaming, rebranded Betfred Technology, appointing former Sharp boss Andrew Daniels as CIO.
- Insourcing the platform is strategically sensible for a mid-tier operator that historically bought in sportsbook and gaming tech.
- Gap between EBITDA and operating profit widened to £66.5m from ~£56m pro-rata.
- Capitalisation policy flatters EBITDA relative to peers who expense more of their development.

INTERNATIONAL FOOTPRINT

Footprint is now essentially UK plus South Africa, with Lottostar likely a disproportionate share of profit and UK digital marginal at best.

- US exit complete after ceasing trading in the last remaining state, following nine prior exits; £0.8m closure costs in exceptionals.
- Spanish online business sold in 2024 yielded a £1.6m gain.
- Lottostar contributed £41.4m net profit in the 78-week prior period, annualising to roughly £28m against FY26 group PAT of £39.6m.
- Management withheld a geographic split as 'severely prejudicial', which we read as confirming South Africa's outsized profit share.
- Lottostar sits outside the UK duty regime: a cushion against RGD, but UK tax changes hit a smaller, less profitable base.

> *"severely prejudicial"* — **Management**

DUTY INCREASES

RGD rising from 21% to 40% on 1 April 2026 implies a gross hit of £34–51m a year, 25–35% of FY26 group EBITDA before mitigation.

- Every £100m of UK online gaming GGY carries ~£19m of incremental duty.
- Estimate assumes 40–60% of £451.7m online turnover is UK gaming GGY; sports/gaming and UK/SA splits are not disclosed.
- Remote GBD rises from 15% to 25% in April 2027 (horse racing, SSBTs, pools, spread betting exempt), a second smaller step in FY28.
- Mitigation levers: bonus cuts, RTP changes, marketing retrenchment, affiliate renegotiation; Betfred lacks the scale of bet365, Flutter or Entain.
- We expect online growth to decelerate sharply in FY27, with the Super League exit the first visible evidence.

ONLINE £M	FY26 (52WK)	FY25 (78WK)	FY25 PRO-RATA 52WK (EST.)	Δ VS PRO-RATA (EST.)
Online turnover	**451.7**	**563.6**	**375.7**	**+20.2%**
Share of group turnover	45.4%	38.6%	38.6%	+6.8pp
Online turnover, FY23 reference (53wk)	197.0 (FY23)	–	–	+129% FY23→FY26
Marketing spend / % revenue	n/a ('increased')	n/a	n/a	–
Monthly actives / ARPU	n/a	n/a	n/a	–
Handle / net margin / structural margin / promo % handle	n/a	n/a	n/a	–
Capitalised development costs (cumulative)	110.4	n/a	n/a	–
R&D expensed	22.1	n/a	n/a	–
Lottostar (South Africa) net profit	n/a (geographic split withheld)	41.4	~27.6	–
Spain online disposal gain (2024 sale)	1.6	–	–	–
US exit closure costs (exceptional)	0.8	n/a	n/a	–
RGD sensitivity: +19pts on UK gaming GGY (est.) Analyst estimate; split not disclosed.	-£34m to -£51m p.a. if 40–60% of online turnover is UK gaming GGY	–	–	–
Online EBITDA / margin	n/a (not disclosed)	n/a	n/a	–

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Online turnover +20% pro-rata to £451.7m and now 45% of group (39% prior; £197m in FY23) — the channel migration is real and Betfred is no longer a retail-only story. structural
- Group like-for-like turnover +£23.3m (+2.4%) despite a ~9% pro-rata retail decline, and gross profit held at £719.9m (+0.9% pro-rata) — the top line absorbed shop closures and a 55% levy increase. mixed
- Portfolio clean-up is finished: the US exit is complete (nine states previously, final state this period) and Spain was sold at a £1.6m gain; exceptional costs were a modest £7.1m, so FY27 starts without legacy overseas drag. one-off
- Technology insourced (Sharp Gaming → Betfred Technology, new CIO) with £110.4m capitalised and £22.1m R&D expensed — a credible platform investment for a mid-tier operator ahead of a market where promo efficiency will matter more than reach. structural
- Headcount trimmed (9,463 vs 9,622) and shop estate cut by 58 before the 132-closure programme — management is acting on costs rather than waiting for the Budget. early
- £30.1m interim dividend demonstrates continued cash generation and owner confidence; balance-sheet detail is unavailable but the group has been self-funding its tech build and dividends from operations. watch

▼ LOWLIGHTS

- EBITDA £140.6m is ~28% below the pro-rata prior run-rate with margin -600bps to 14.1% (19.5% of gross profit vs 27.5%) — and this is before the 40% RGD. Operating margin halved to 7.4%. structural
- Profit after tax -54% pro-rata to £39.6m; effective tax rate 38.1% (vs 31.7%) with up to £7m of unrecognised deferred tax assets — overseas/legacy losses are not expected to be usable. mixed
- Retail turnover -9% pro-rata, per-shop turnover c.-7% (est.), MGD -9.5% — the estate is in structural decline, and 132 further closures (~10%) with ~£4m/yr cost to racing are already scheduled before any MGD decision. structural
- Duty and levy burden rose to 22.1% of turnover (£220.5m) from 21.0% before RGD (Apr-26) and remote GBD (Apr-27) step-ups; our RGD sensitivity is £34–51m p.a., 25–35% of FY26 EBITDA, pre-mitigation. structural
- Disclosure has gone backwards: geographic split withheld as 'severely prejudicial', no segment profit, no KPIs (actives, handle, margin, marketing), EBITDA basis unclear, and balance sheet/cash flow not surfaced in any coverage — against a prior year in which South Africa (Lottostar) contributed £41.4m of net profit. governance
- £4.6m of 'aborted acquisition costs' on an unnamed target, alongside reports of a possible move into adult gaming centres — capital-allocation intent is opaque at a moment when the core business needs defending. governance
- Dividend payout of 76% of PAT (£30.1m) while employee costs rose £19.2m LFL and sponsorship is being cut for cost reasons — the owners are taking cash out at the same time the business is pleading hardship to the Treasury. watch

6 FORECAST & OUTLOOK

Guidance bridge. There is no guidance to bridge: Betfred is private and the directors' report offers no outlook beyond flagging the tax changes. The relevant bridge is therefore from reported FY26 EBITDA to our FY27 (52 weeks to end-March 2027) estimate. Every moving part sits in the UK: (i) the RGD step from 21% to 40% from 1 April 2026 hits UK online gaming for the full year; (ii) the retail segment loses ~10% of its estate mid-year, which removes some revenue but, per management, mostly loss-making shops; (iii) employee costs carry a further NMW uplift from April 2026; (iv) mitigation comes from marketing retrenchment (Super League exit, reduced acquisition spend) and closure savings. The remote GBD increase (April 2027) and any MGD change in this autumn's Budget fall mainly into FY28 but would dominate the narrative in the FY27 accounts.

FY26 EBITDA (reported)	RGD 21%→40% on UK online gaming (est.)	Mitigation: 132 closures, sponsorship exit, marketing/headcount cuts, less wage inflation (est., net)	FY27E EBITDA (analyst estimate)
£140.6m	**-£34m to -£51m**	**+£5m to +£15m**	**£95m–£120m**
base; 14.1% margin	assumes 40–60% of £452m online turnover is UK gaming GGY	closure savings partly offset by NMW and exit costs	-15% to -32%; margin ~10–12%

Independent view. We expect FY27 group turnover to be roughly flat to down ~3% (£965–995m, est.): retail down 10–12% as the 132 closures land mid-year on top of underlying footfall decline, online up mid-to-high single digits as marketing is pulled back ahead of a harsher duty regime. Gross profit will fall faster than turnover — the RGD hit sits between turnover and gross profit — so we model **gross margin dropping from 72% to c.68%** and **EBITDA of £95–120m**, with EBIT further pressured by amortisation of the £110m tech base and FY27 exceptional closure costs. Leverage direction is **unknowable from public data** (net debt not disclosed) but the direction of travel is clear: lower cash generation, a dividend that cannot be sustained at £30m without eating the buffer, and newly registered security over assets in October 2025. The asymmetric swing factor is the Budget: a doubling of MGD would at FY26 volumes add up to ~£55m of duty and trigger the next tranche of closures, putting FY28 EBITDA on a path toward £50–80m (est.); conversely, a retail carve-out would leave the FY27 range intact. The structural question for anyone lending to or trading with this group is how much of the remaining profit is South African — and management has just stopped telling us.

What to watch next quarter:

- Autumn Budget 2026: Machine Games Duty decision (a doubling ≈ +£55m duty at FY26 volumes, est.) and any retail/horseracing carve-outs; Done has pre-committed to 495 closures and British Classics sponsorship withdrawal if MGD doubles.
- Execution and cost of the 132-shop closure programme (timing, exceptional lease/redundancy charges, revenue retained via nearby shops) and whether a second tranche follows.
- Evidence of online pass-through under 40% RGD — bonus/RTP changes, marketing cuts, affiliate renegotiation — versus share loss to scale players; Betfred discloses no KPIs so watch Gambling Commission industry data for Q2–Q3 2026.
- Remote GBD 15%→25% from April 2027 (FY28) and the scope of the horseracing exemption; also EU-level iGaming tax proposals as a longer-dated international risk.
- FY27 accounts disclosure: restoration (or not) of a geographic split, Lottostar contribution, balance sheet, net debt and the terms behind the October 2025 charges; dividend policy relative to PAT.
- Capital allocation: identity of the aborted acquisition target, any move into adult gaming centres, and whether capitalised development spend continues at the FY26 pace.

DATA CONFIDENCE: MEDIUM Headline P&L figures (turnover £995.6m, retail/online split, duties, gross profit £719.9m, EBITDA £140.6m, operating profit £74.1m, PBT £64.0m, tax £24.4m, PAT £39.6m, TCI £48.7m, dividend £30.1m, shops 1,293) are corroborated across at least five independent reports of the Companies House filing and are internally consistent (turnover less deductions reconciles to gross profit to within rounding; our pro-rata method reproduces the company's £23.3m LFL figure). The filing PDF itself could not be opened before tool limits were reached, so the following are unverified or n/a: balance sheet, net debt/cash, operating and free cash flow, capex, segment profit, the pre/post-exceptional basis of EBITDA, the composition of the implied £10.1m finance/other line, FY25 commissions (implied residual), and the headcount basis (9,463 per SBC/Focus/gambling.com vs 7,795 per iGB). All 'vs pro-rata' deltas and the RGD/MGD sensitivities are analyst estimates and labelled as such. No earnings call, guidance or share price exists for this private company.

Sources: [Primary] Companies House — Betfred Group Limited (02578161) filing history (primary filing venue; AA for 52wk to 29-Mar-26 referenced by all coverage; PDF not accessed); [Secondary] Yogonet — 'Betfred posts $85 million pre-tax profit as UK tax hikes prompt shop closures and sponsorship cuts' (13 Oct 2026) [user-supplied]; [Secondary] Gaming Intelligence — 'Betfred posts annual turnover of £995.6 million in FY26' (13 Oct 2026; paywalled beyond headline) [user-supplied]; [Secondary] SBC News — 'Betfred falls just short of £1bn turnover in 2025/26' (12 Oct 2026): turnover, retail/online, shops, capitalised dev costs, R&D, headcount; [Secondary] NEXT.io — 'Betfred turnover just misses £1bn in 2025-26' (12 Oct 2026): duties, gross profit, operating profit, PBT, tax, PAT, TCI, exceptionals; [Secondary] iGaming Business — 'Retail split narrows for Betfred as 2025/26 turnover hits £995.6m' (12 Oct 2026): EBITDA £140.6m, LFL +£23.3m, geographic split withheld, tax, DTAs, Spain gain, 495-shop MGD warning; [Secondary] Racing Post — 'Betfred post £39.6 million profit as accounts demonstrate importance of betting shop estate' (12 Oct 2026): shops, duties, US exit completion, sponsorship; [Secondary] TheBusinessDesk — 'Change in accounting period skews annual results for bookmaker Betfred' (14 Oct 2026): precise turnover £995.637m, PBT £64.046m vs £188.682m, dividend £30.061m vs £25.376m; [Secondary] gambling.com — 'Betfred Online Revenue Nears Half Of 2025/26 Turnover' (Oct 2026): Sharp Gaming/Betfred Technology, CIO, average headcount; [Secondary] Focus Gaming News — FY26 results coverage and Treasury/Betfred exchange on 132 closures incl. Q4-25 UK retail GGY (Aug/Oct 2026); [Secondary] iGaming Business — FY25 (78wk to 30-Mar-25) accounts coverage: turnover £1.46bn, retail £894.8m, online £563.6m, tax £59.8m, PAT £128.8m, TCI £112.6m (Jan 2026); [Secondary] Gaming Intelligence — FY25 accounts incl. duty lines (betting duty £197.9m, MGD £90.3m, levy £18.0m), Lottostar £41.4m, dividend £25.4m (Jan 2026); [Secondary] InterGame — FY25 accounts: pre-exceptional EBITDA £293.8m, operating profit £209.6m (May 2026); [Secondary] SBC News — FY25 accounts coverage, US/Spain exits (Jan 2026); [Secondary] Yahoo Finance — 'Betfred to Close 132 Retail Shops Due to U.K. Tax Challenges' (Aug 2026); [Secondary] Sportcal — 'Betfred to let Super League deal expire after 2026 campaign' (Sep 2026); [Secondary] iGaming Express — FY26 coverage (EUR-converted figures; LFL +£23.3m attribution to online marketing).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.